Mapping the next stage of the AI rally

- **While developments in the Middle East are the primary concern for markets right now, sentiment around AI remains a key factor too. We still think that renewed AI enthusiasm will boost stock markets this year.**
- The S&P 500 "big-tech" sectors have fared better than most since the war began. But it has nonetheless been a stiff headwind for them and, thanks in part to earlier turmoil in the software sector, they have now fallen further form their recent peaks than other sectors. **That said, we don't think either of these headwinds fundamentally undermine the broader optimism around AI that had boosted these sectors in recent years.**
- Investors seem to agree that the conflict has not darkened the outlook for tech earnings (which had largely driven the rally in recent years). Indeed, analyst earnings forecasts have continued to soar in recent weeks. And they also seem to share our view that the turmoil in the software sector is not necessarily bad news for other tech stocks, with AI-related stocks *excluding software* ones holding up well even as software sold off.
- **We would go further and say that the disruption facing the software industry is a net positive for the stock market**. Of course, AI will create losses for some and may cause financial dislocation as those losses wash through the system. But it will create gains for others too. This is the historical pattern with general-purpose technologies, and we think the net benefits for the S&P 500 will outweigh the losses over the medium term.
- **Stepping back, we have not seen anything to change our mind that AI-related stocks have further upside.**
- **We have also not seen anything to make us think that the main beneficiaries of renewed AI hype would be different to those that have benefited so far.** Both our macro and markets analysis suggest that diffusion across economies is still at an early stage, with little sign of much broadening out over the past two years.
- **Accordingly, we continue to think stocks in the US, China, Korea, Taiwan and Japan are best set to benefit from AI enthusiasm**. This is based on their exposures to "AI industries" – which we identify by analysing the composition of the largest AI ETFs by AUM as of start-2026 – and on our ***CE AI Economic Impact Index***.
- **We have recently revised down our end-2026 S&P 500 forecast given the assumed hit to global economic activity from war in the Middle East. But our new forecast of 7,500 (down from 8,000) is still optimistic and around the top of consensus forecasts. And we expect this rally to be led by stocks in AI industries.**

James Reilly, Senior Markets Economist, james.reilly@capitaleconomics.com

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Mapping the next stage of the AI rally

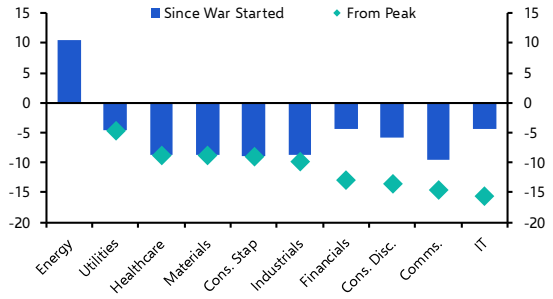
Between developments in the Middle East and the software sector, it has been a volatile first quarter for AI-related stocks. This report uses our custom ***CE AI Equity Indices*** to gauge the health of the rally and consider how it might develop over the rest of 2026.

Section 1 considers what has driven the weakness in AI-related stocks and whether these moves look justified to us. Section 2 assesses which parts of the market are likely to benefit most if the AI rally resumes, with a focus on whether share price gains are set to broaden out beyond the "tech industries".

Section 1: Taking stock of the sell-off

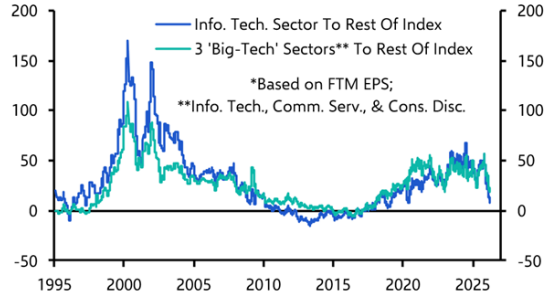
At face value the US 'big tech' sectors (consumer discretionary, IT, and communication services) have held up well relative to other sectors since the war in the Middle East began. **But they are nonetheless the furthest from their peaks of the high-level sectors, given that they had been heavily sold off coming into the conflict**. (See Chart 1.) What's more, the gap between the valuation of these sectors and the rest of the market has narrowed significantly. (See Chart 2.)

Chart 1: S&P 500 Sector Indices Drawdowns (%)



Sources: LSEG, Capital Economics.

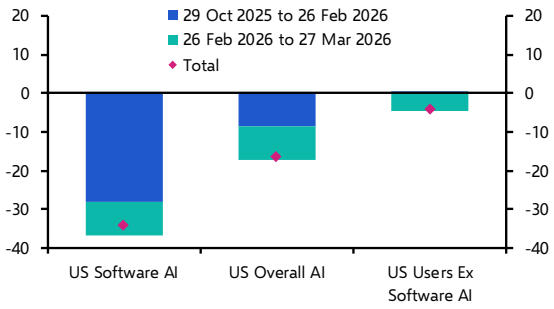
Chart 2: S&P 500 P/E Ratio* Premia (%)



Sources: LSEG, Capital Economics.

This raises the question of whether AI enthusiasm is over. We think not. This tech weakness is the result of two main factors. The first is the well-documented headwinds facing the software sector. We dig into that in Section 1a but, in short, we don't think it undermines the overall AI thesis. **In fact, we think it is more likely a positive than a negative in the medium-term**. And investors seem to agree that these headwinds are not a major spanner in the broader AI works: our index of AI "users" excluding software continued to rally, on net, in the months prior to the war. (See Chart 3.) (See the Appendix for the methodology behind the indices used in this piece.)

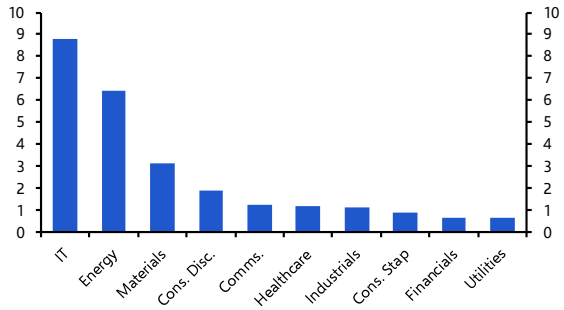
Chart 3: Changes In CE US AI Equity Indices (USD Total Returns, %)



Sources: LSEG, Capital Economics.

The second factor is the war in the Middle East. **Again, we don't think this undermines the broader AI thesis**. Our baseline assumption is that the AI buildout will not be meaningfully impacted, and for the most part investors don't seem to be factoring in much of a change to the outlook for tech stocks: indeed, earnings expectations have soared even as the war has escalated. (See Chart 4.) It's only valuations that have fallen amid surging bond yields.

Chart 4: Change In S&P 500 Forward 12 Month (FTM) EPS Expectations 26th Feb. 2026 – 19th Mar. 2026 (%)



Sources: LSEG, Capital Economics. 19th March is latest published data.

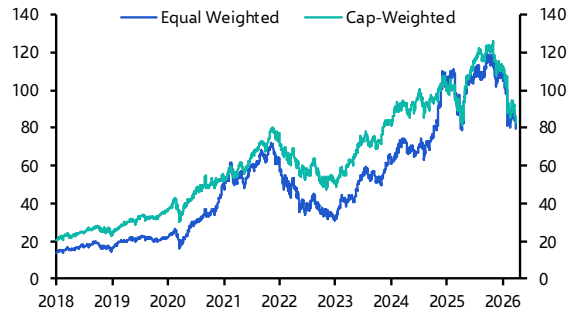
Clearly, a prolonged conflict – and the potential for a US recession – would eventually take a toll on the earnings outlook for tech stocks. In our "adverse" war scenario, we project that the S&P 500 would end this year at 6,000 and not rise in 2027. But if our baseline assumption of a conclusion to the war around end-April and limited long-lasting damage to major infrastructure were to materialise, we think the conditions would be in place for the AI story to resume its place as the key driver of global equities.

This report steps back from the conflict and assesses whether, in that state of the world, the AI story would fuel a further leg up in equities during 2026.

1a: Struggling software

The struggles of US software stocks since October 2025 reflect growing concern that their business models may be disrupted by AI, not enhanced. This weakness has been broad-based, with cap-weighted and equal-weighted indices of US AI software stocks plunging to their 'Liberation-day' lows. (See Chart 5.)

Chart 5: CE US AI Software Indices (End-24 = 100)

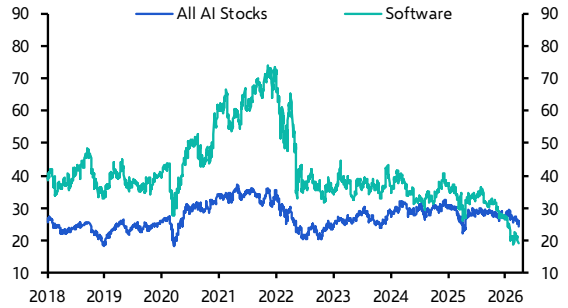


Sources: LSEG, Capital Economics.

Much has been written about exactly why software as a service (SaaS) is exposed to disruption. In short, two key issues are as follows. First, AI agents' ability to use software tools means businesses need to pay not only for fewer staff, but also fewer software licences (undermining traditional seat-based pricing models). Second, the barrier to entry for many software applications has arguably been eroded (or will be) now that quality products can be replicated.

Our sense is that the weakness in software stocks is probably a bit overdone, not least given how far and how fast valuations have corrected relative to other AI-related stocks. (See Chart 6.) That said, we don't think it will be complete re-run of last year's DeepSeek episode, when equities in the US semiconductor sector recovered swiftly. After all, while the slump in software stocks has been exacerbated by some specific news (e.g. releases by Anthropic), it has been developing for many months.

Chart 6: Median 12-Month Forward Price-to-Earnings Ratio Of CE US AI Index Constituents



Sources: LSEG, Capital Economics.

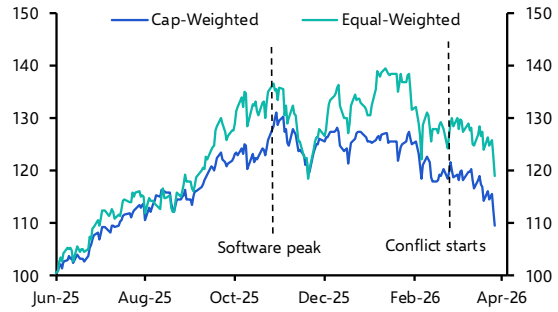
And we doubt the recovery will be as broad-based as the semiconductor one either – we expect there to be more differentiation between winners and losers in the software space than was the case among semiconductor stocks last February. After all, more generic software offerings with seat-based models seem to be relatively vulnerable; but firms providing cybersecurity software, for example, may see more demand if AI makes generating cyberattacks simpler.

1b: Wider impact of software's sell-off

Perhaps more importantly, though, we think this disruption is likely to prove a net positive for the broader US economy and stock market. Of course, AI will create losses for some and gains for others; and it may also cause financial dislocation as those losses wash through the system. This is the historical pattern with general-purpose technologies. **But on net, we predict the winners will outweigh the losers.**

Investors seem to be taking a neutral stance for now. Chart 3 showed that even as software stocks came under pressure, non-software AI stocks had held up well. The upshot is that our overall indices of US AI stocks had only edged down slightly over that pre-war period, on net, both on a cap-weighted and equal-weighted basis. To us, this looks indicative of enthusiasm stalling but not unwinding. (See Chart 7.)

Chart 7: CE US Overall* AI Equity Indices (Start = 100)



Sources: LSEG, Capital Economics.

1c: Changes under the surface

While the AI rally was on pause at a high level, there were changes under the hood, with investors rotating from software stocks to semiconductor ones. At least, that's what the relative performances of both suggest. (See Charts 8 & 9.) At times in the past, such a retreat from "users" to "enablers" of AI has been used as evidence of fading belief in the AI story. But as both charts show, non-software users held up well. **So, there hasn't been a *wholesale* shift away from users.**

Chart 8: CE US AI Equity Indices (Start = 100)

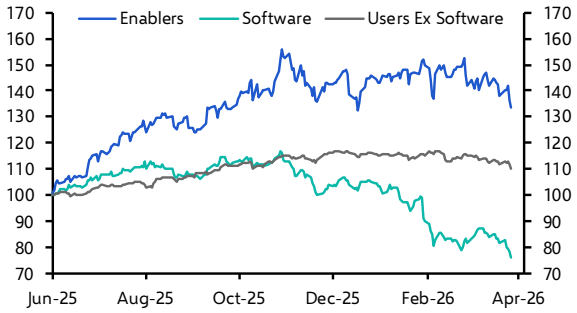
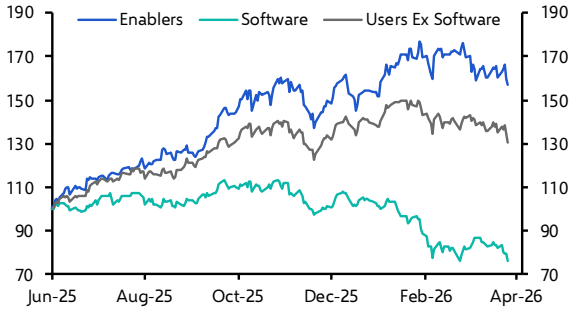


Chart 9: CE US AI Equity Indices (Start = 100)



Sources: LSEG, Capital Economics.

The story outside of the US is similar: software stocks have come off the boil since last October; semiconductor stocks have fared best; and other AI stocks have held their ground or rallied in equal-weighted terms, helping overall AI indices hold their ground over the pre-war period. (See Charts 10&11.)

Chart 10: CE Global AI Equity Indices (Start = 100)

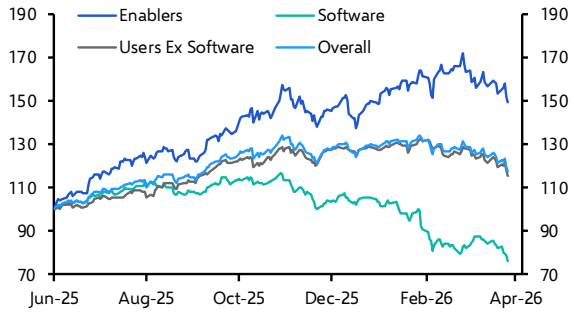
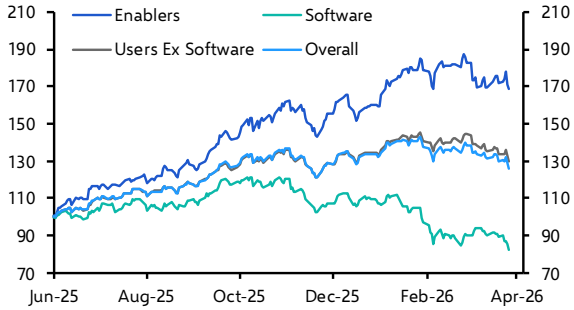


Chart 11: CE Global Equal-Weighted AI Equity Indices (Start = 100)



Sources: LSEG, Capital Economics.

In sum, we find little evidence that the recent weakness in tech stocks reflects a genuine souring of investors' sentiment towards AI or its long-term transformative potential. We also find little evidence of much rotation within AI stocks, beyond a shift from software ones into semiconductor ones.

Section 2: Who benefits is the AI rally resumes?

If we're right and investors' AI enthusiasm returns, what parts of the stock market are likely to benefit?

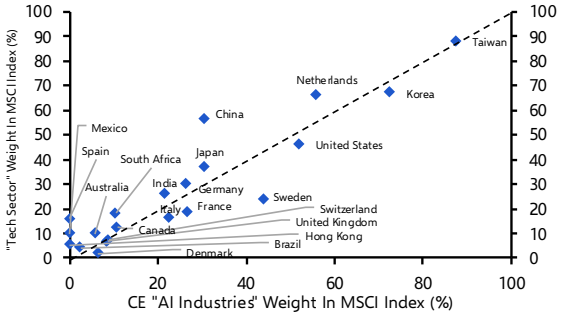
2a. The *status quo* continues…

Given that the AI narrative has not *really* changed too much over recent months, one conclusion is that those who were deemed best placed to benefit from AI enthusiasm coming into 2026 are probably still best placed to benefit if the AI rally were to resume.

To analyse the characteristics of these winners, we look at the composition of major AI ETFs. Tables A1 and A2 (Appendix) show a detailed GICS sector and industry group level breakdown, split by geography. **We consider the 12 industry groups with the largest weighs in these AI ETFs to be "AI industries", best placed to benefit from a recovery in AI enthusiasm.**

These industries can also be used to identify which stocks markets look best placed to benefit if the AI rally were to resume. The results are similar to simply using the "big tech" sectors, though there are differences: for example, the less-granular method overstates China's exposure to AI enthusiasm and understates Sweden's. (See Chart 12.) Given that parts of the communications services and consumer discretionary sectors seem relatively unexposed to AI, we think our AI industries paint a fairer picture.

Chart 12: AI Weights In MSCI Equity Indices (%)



Sources: LSEG, Capital Economics. "AI Industries Weight" is based on combined weights of the top 12 industries in Table A2.

Of course, sector composition is not the only factor that determines a stock market's exposure to the AI theme. Another key question is how well set an economy is to innovate, adapt, and/or diffuse the technology across its economy. To quantify that, we use our proprietary ***CE AI Economic Impact Index.*** (See Table 1, and our interactive dashboard for more).

Table 1: CE AI Economic Impact Index

	Innovation	Diffusion	Adapting	Overall
US	87	60	68	72
Singapore	40	73	65	59
UK	36	64	65	55
Korea	36	62	63	54
Switzerland	28	67	57	51
China	46	49	55	50
Canada	34	60	51	48
Sweden	25	63	53	47
Taiwan	21	71	45	46
Germany	32	49	56	46
Australia	18	63	53	45
Japan	30	54	48	44

Sources: LSEG, Capital Economics.

Table 2 consolidates the data considered above: inclusion in AI ETFs, index exposure to selected industries, and our CE AI Economic Impact Index. **Clearly, the US and parts of Asia – including Korea, Taiwan, China and Japan – look like the big winners.**

Table 2: AI Exposures

	AI Weight In MSCI Index (%)	Country Weight In AI ETFs (%)	CE AI Economic Impact Index
US	52	62.2	72
South Korea	72	4.8	54
Taiwan	87	5.8	46
Netherlands	56	0.8	44
Sweden	44	0.6	47
China	31	5.1	50
Japan	31	7.7	44
Germany	26	2.0	46
UK	9	0.7	55
Switzerland	9	1.5	51
France	27	0.5	42
Canada	11	2.0	48
Hong Kong	0	0.9	50
Denmark	6	0.0	45
Australia	6	0.7	45
Italy	22	0.1	32
India	22	0.0	30
Spain	0	0.0	34
Brazil	2	0.0	24
South Africa	10	0.0	20
Mexico	0	0.0	20

Sources: LSEG, Capital Economics. "AI weight" is based on combined weights of the top 12 industries in Table A2.

2b. New industries to benefit?

Rather than the *status quo* persisting, it is possible the that rally broadens out. But there is little evidence of this happening so far. One way to gauge this is to look for signs of productivity boosts across different sectors of the economy, which we do in detail here. While the level of AI usage by firms is heading in the right direction, it remains low outside of the tech and professional services sectors. And surveys suggest that most firms are still only using AI in a basic way.

An alternative approach is to examine equity data, not macro data. Comparing the sector composition of the largest AI ETFs at start-24 and start-26 gives a sense of whether *investors* (and/or ETF managers) think that the AI rally has broadened. Table 3 shows the results. (See Tables A3 and A4 in the Appendix for a geographic and industry level decomposition.)

The most notable observation is that these ETFs have in fact become *more* concentrated in the IT sector. This either reflects that investors are yet to become convinced that the benefits from AI will be felt across other sectors to the same extent or, more likely, they believe it will but for now are still unsure about which industries are the most likely to benefit.

Supporting this idea is the fact that the sectors to have increased their presence in these ETFs are generally those thought of as enablers – real estate (data centre REITs) and utilities. Even within the IT sector there has been a further concentration in semiconductors.

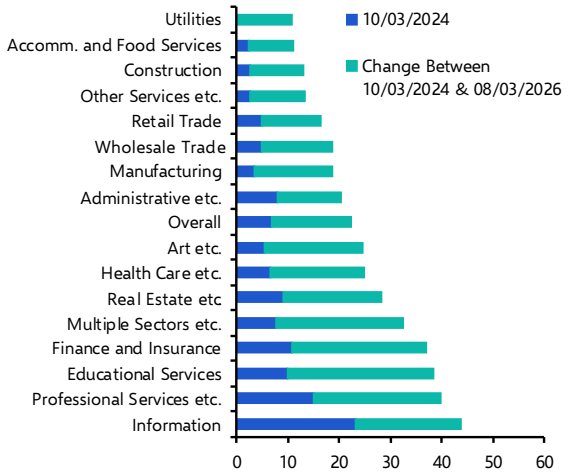
Table 3: Change In Major AI ETF Sector Compositions (Start-2024 to Start-2026, %-pts)

	Unique Count	Total Count	Average
IT	11.7	14.9	13.3
Real Estate	1.7	1.4	1.6
Financials	2.0	0.9	1.4
Utilities	0.7	0.5	0.6
Energy	0.0	0.0	0.0
Cons. Stap.	-0.3	-0.4	-0.4
Health Care	-0.1	-1.8	-1.0
Comms.	-3.6	-1.0	-2.3
Industrials	-3.4	-9.3	-6.4
Cons. Disc.	-7.8	-5.0	-6.4

Sources: LSEG, Capital Economics. "Unique count" refers to the number of unique stocks featured in the 10 largest AI ETFs at start-2024 or start-2026. "Total count" sums up how many times each stock appears (e.g., Nvidia features in all 10 in 2026 so is counted 10 times). 'Average' is a simple average of the other measures.

Survey data can be useful when trying to identify where this break might come from. For example, the US Census Bureau asks whether firms are planning to use AI in the production of goods and/or services within the next 6 months. The results are shown in Chart 13, which also shows how each industries' answers have changed over the past two years or so.

Chart 13: Expected Uptake Of AI In The Production Of Goods Or Services In Next 6 Months (%)



Sources: LSEG, Capital Economics.

That said, this exercise has limitations: these are merely plans, and using AI does not ensure greater productivity. What's more, the Census Bureau changed the wording of its questionnaire in October, complicating comparisons. So, we would be wary of leaning on these data too hard to pick winning sectors.

On balance, it may be too soon to guess where the next productivity breakthrough will come from. For some, the lack of evidence that AI enthusiasm is spreading across industries might ring alarm bells. But in the same way software firms fell out of fashion when headwinds appeared, we expect other industries to rally swiftly upon signs of AI finally being deployed in a productivity-enhancing fashion. And we think that is only a question of when, not if, AI will be used across most sectors of the economy.

2c. New countries to benefit?

What about signs of broadening out at the country level? Again, we took a detailed look at the macro evidence in the above-mentioned report: the upshot is that the biggest beneficiaries so far are the US, where the bulk of the spending is occurring, and the major tech exporters including Taiwan. And equity data paint a similar picture: the US has increased its weight in these ETFs over the past couple of years while meaningful increases elsewhere are limited to the tech-heavy stock markets in Asia. (See Table 4.)

Table 4: Country Shares Of Major AI ETFs

	Start-2024 (%)	Start-2026 (%)	Change (%-pts)
US	49.7	58.8	9.1
Japan	12.1	8.2	-3.9
China	0.0	7.0	7.0
Taiwan	3.4	6.1	2.8
Korea	0.0	3.4	3.4
Germany	3.0	2.2	-0.8
Canada	3.7	2.2	-1.5
Israel	1.9	1.5	-0.3
Switzerland	1.5	1.4	-0.1
Netherlands	2.2	1.1	-1.0
Australia	0.8	1.0	0.3
UK	1.1	1.0	-0.2

Sources: LSEG, Capital Economics. Based on average of "Unique count" (each stock featured in the ETFs is counted once) and "Total count" (each stock is counted each time it appears in the ETFs). See Table A1, Appendix for more detail.

In sum – there is little sign of the rally in AI having broadened at either the industry or country level in recent years. This is consistent with the idea that the winners of AI, beyond those enabling it or most obviously embracing it in the tech sectors, have yet to become much clearer. While we think that it is only a matter of time before that happens, we think the recently favoured parts of the market – the 12 AI industries we identify, and US/Asia Pacific at the country level – remain likely to outperform in 2026.

Appendix

CE AI Equity Index Methodology

Identifying an AI stock…

To select our universe of AI stocks we defer to the judgement of major ETF providers. Specifically, our indices use all stocks featured in the top 10 AI ETFs by AUM (as defined by ETF.com) at the start of 2026.

This approach does not mean every stock exposed to AI is considered. For example, Walmart is one stock that has rallied strongly in part seemingly because of investor enthusiasm around its use of AI – but it does not feature in any of these 10 ETFs. And there are plenty of stocks included that are increasingly seen as losers from AI: a lot of software stocks, for example. The reality is the perceived winners from the AI revolution are in constant flux, so no AI index will accurately gauge enthusiasm for the technology.

Still, we think this a better approach than simply using the combined weight of the IT, consumer discretionary and communication services sectors. Granted, doing so makes sense for the US stock market on a cap-weighted basis because these GICS sectors are home to the 'Magnificent Seven' and other major US tech names. But it is not necessarily the case that the average US consumer discretionary firm is more exposed to AI than the average US industrial firm, for example. At least, that is what the sector compositions of these AI ETFs indicate. So, just using these three so-called "tech sectors" to quantify the exposure of non-US markets to the AI theme leaves room for improvement, in our view. Likewise using these sectors for US stocks doesn't make much sense to us if you are looking on an equal-weighted basis.

Creating sector/industry sub-indices…

When it comes to creating AI sector/industry sub-indices, there are generally two approaches. The first camp (e.g. many active ETFs/indices) takes a discretionary approach to identifying software firms, either via proprietary screens or subjective decisions. The second camp relies on firm classifications made according to the GICS (Global Industry Classification Standard) or similar. Under this approach, firms involved in the software space may not feature in a software index if they are involved in other activities.

This creates the confusing situation where most of the mega cap US tech firms – many of which are seen to be involved in the software business in way or another – do not feature in software indices. Only Microsoft is classed as a software stock. (Chart A3, Appendix, shows which GICS industry these mega caps sit in and their weight in each. It also shows the weight of each industry in the respective GICS sector, and the weight of each sector in the MSCI USA Index).

For our CE AI equity Indices, we opt to use GICS classifications. Put simply, given the imperfections of both approaches, we think that the objectivity of using accepted classifications makes the indices – and the messages from them – easier to interpret.

We define "enablers" as firms in the Semiconductor industry group plus those in the Utilities and Real Estate sectors. The remaining AI-related stocks are classed as "users".

Table A1: ETF Sector Composition (% of ETFs)

	Global					US					Global Ex. US				
	Unique Count	Total Count	Cumulative ETF Weight	AUM Adjusted	Average	Unique Count	Total Count	Cumulative ETF Weight	AUM Adjusted	Average	Unique Count	Total Count	Cumulative ETF Weight	AUM Adjusted	Average
IT	53.2	61.4	62.1	64.6	**60.3**	56.2	65.7	65.9	68.0	**64.0**	49.6	54.1	54.0	58.8	**54.1**
Industrials	23.9	18.4	17.4	16.3	**19.0**	17.3	11.6	11.3	10.2	**12.6**	31.9	30.0	30.5	26.8	**29.8**
Comms.	5.4	6.8	9.6	9.0	**7.7**	6.8	7.9	10.6	10.4	**8.9**	3.7	4.8	7.4	6.6	**5.6**
Cons. Disc.	6.4	5.9	6.6	7.0	**6.5**	4.3	5.1	6.9	7.5	**5.9**	8.9	7.2	6.0	6.1	**7.1**
Health Care	5.1	3.6	2.4	2.0	**3.2**	6.2	4.2	2.9	2.6	**4.0**	3.7	2.4	1.1	1.0	**2.0**
Financials	3.0	1.6	0.6	0.4	**1.4**	4.9	2.3	0.9	0.4	**2.1**	0.7	0.5	0.1	0.2	**0.4**
Real Estate	1.7	1.4	0.6	0.2	**1.0**	2.5	2.0	0.8	0.3	**1.4**	0.7	0.5	0.2	0.2	**0.4**
Utilities	0.7	0.5	0.5	0.3	**0.5**	1.2	0.8	0.7	0.4	**0.8**	0.0	0.0	0.0	0.0	**0.0**
Energy	0.7	0.4	0.3	0.2	**0.4**	0.6	0.3	0.1	0.1	**0.3**	0.7	0.5	0.7	0.4	**0.6**

Sources: LSEG, Capital Economics. "Unique count" refers to the 297 stocks featured across these 10 ETFs. "Total count" sums up how many times each stock appears (e.g., a stock that featured in all 10 would be counted 10 times). "Cumulative ETF Weight" sums up each stock's weight in the ETFs, rather than just the occurrences. "AUM Adjusted" does the same but further adjusts for the size of the ETF (so a 1% weight in the largest ETF is worth more than a 1% weight in the smallest ETF). "Average" is a simple average of the other four measures.

Table A2: ETF Industry Composition (% of ETFs)

	Global					US					Global Ex. US				
	Unique Count	Total Count	Cumulative ETF Weight	AUM Adjusted	Average	Unique Count	Total Count	Cumulative ETF Weight	AUM Adjusted	Average	Unique Count	Total Count	Cumulative ETF Weight	AUM Adjusted	Average
Semis	12.1	19.1	29.8	33.0	**23.5**	11.1	19.3	31.7	34.7	24.2	13.3	18.8	25.8	30.0	22.0
Software	16.5	17.5	14.2	12.5	**15.2**	22.8	23.5	18.9	18.3	20.9	8.9	7.2	4.3	2.4	5.7
Machinery	12.1	10.0	8.6	7.1	**9.5**	4.3	3.1	2.8	2.3	3.1	21.5	21.7	21.0	15.6	19.9
Hardware	7.4	8.2	5.4	5.3	**6.6**	5.6	7.1	4.1	3.1	5.0	9.6	10.1	8.3	9.0	9.3
Electronic. Eq.	8.1	7.1	5.1	5.6	**6.5**	5.6	4.5	2.2	2.0	3.6	11.1	11.6	11.2	11.7	11.4
IT Services	6.7	7.3	5.6	5.7	**6.3**	7.4	8.2	6.1	6.0	6.9	5.9	5.8	4.3	5.3	5.3
Int. Media	3.0	4.8	8.3	7.2	**5.8**	3.1	5.4	9.5	8.8	6.7	3.0	3.9	5.6	4.5	4.2
Electrical Eq.	4.4	3.2	3.6	3.9	**3.8**	3.1	2.3	1.8	1.3	2.1	5.9	4.8	7.6	8.2	6.6
Aero & Def	3.4	2.5	3.9	3.5	**3.3**	5.6	3.7	5.5	5.4	5.0	0.7	0.5	0.5	0.3	0.5
Broad. Retail	1.3	1.8	3.2	3.2	**2.4**	0.6	1.7	3.2	3.1	2.2	2.2	1.9	3.4	3.4	2.8
Comms. Eq,	2.4	2.1	2.0	2.6	**2.3**	3.7	3.1	2.9	3.9	3.4	0.7	0.5	0.1	0.3	0.4
Automobiles	1.7	1.6	2.5	2.9	**2.2**	1.2	1.7	3.2	4.0	2.5	2.2	1.4	1.0	1.1	1.5
Health Eq.	2.7	2.0	1.8	1.5	**2.0**	3.1	2.3	2.3	2.0	2.4	2.2	1.4	0.8	0.6	1.3
Prof. Services	2.7	1.4	0.4	0.4	**1.2**	2.5	1.1	0.4	0.1	1.0	3.0	1.9	0.4	0.9	1.5
Auto Parts	2.0	1.4	0.5	0.5	**1.1**	0.6	0.3	0.1	0.1	0.3	3.7	3.4	1.4	1.1	2.4
Life Sciences	1.3	1.1	0.4	0.4	**0.8**	1.9	1.4	0.4	0.5	1.0	0.7	0.5	0.2	0.2	0.4
Hotels/Leisure	1.0	0.9	0.3	0.3	**0.6**	1.2	1.1	0.3	0.2	0.7	0.7	0.5	0.2	0.5	0.5
Media	1.0	0.9	0.2	0.4	**0.6**	1.9	1.4	0.2	0.6	1.0	0.0	0.0	0.0	0.0	0.0
Fin. Services	1.3	0.7	0.1	0.1	**0.6**	1.9	0.8	0.1	0.0	0.7	0.7	0.5	0.1	0.2	0.4
Entertainment	0.7	0.5	0.4	0.6	**0.5**	1.2	0.8	0.6	0.9	0.9	0.0	0.0	0.0	0.0	0.0
Wireless Com.	0.3	0.4	0.6	0.8	**0.5**	0.0	0.0	0.0	0.0	0.0	0.7	1.0	1.8	2.1	1.4
Ind. Cong.	0.3	0.4	0.4	0.7	**0.4**	0.0	0.0	0.0	0.0	0.0	0.7	1.0	1.1	1.8	1.2
Health Serv.	0.7	0.4	0.1	0.1	**0.3**	0.6	0.3	0.2	0.1	0.3	0.7	0.5	0.1	0.1	0.4

Sources: LSEG, Capital Economics. "Unique count" refers to the 297 stocks featured across these 10 ETFs. "Total count" sums up how many times each stock appears (e.g., a stock that featured in all 10 would be counted 10 times). "Cumulative ETF Weight" sums up each stock's weight in the ETFs, rather than just the occurrences. "AUM Adjusted" does the same but further adjusts for the size of the ETF (so a 1% weight in the largest ETF is worth more than a 1% weight in the smallest ETF). "Average" is a simple average of the other four measures.

Table A3: Change In Major AI ETF Sector Compositions (Start-2024 to Start-2026, %-pts)

	Global			US			Global Ex. US		
	Unique Count	Total Count	Average	Unique Count	Total Count	Average	Unique Count	Total Count	Average
IT	11.7	14.9	13.3	17.2	10.2	13.7	13.6	18.3	15.9
Real Estate	1.7	1.4	1.6	2.5	2.0	2.2	0.7	0.5	0.6
Financials	2.0	0.9	1.4	-1.7	1.6	-0.1	-1.0	-0.3	-0.7
Utilities	0.7	0.5	0.6	1.2	0.8	1.0	0.0	0.0	0.0
Energy	0.0	0.0	0.0	-1.6	-0.1	-0.8	0.2	0.1	0.1
Cons. Stap.	-0.3	-0.4	-0.4	0.0	0.0	0.0	-0.6	-0.8	-0.7
Health Care	-0.1	-1.8	-1.0	-4.0	-2.3	-3.2	-0.4	-1.5	-0.9
Comms.	-3.6	-1.0	-2.3	-0.7	-0.7	-0.7	-5.0	-1.9	-3.4
Industrials	-3.4	-9.3	-6.4	-3.5	-7.0	-5.3	-0.1	-7.8	-4.0
Cons. Disc.	-7.8	-5.0	-6.4	-4.1	-3.2	-3.6	-7.4	-6.5	-7.0

Sources: LSEG, Capital Economics. "Unique count" refers to the number of unique stocks featured in the 10 largest AI ETFs at start-2024 or start-2026. "Total count" sums up how many times each stock appears (e.g., a stock that featured in all 10 in 2026 would be counted 10 times). 'Average' is a simple average of the other measures.

Table A4: Change In Major AI ETF Industry Compositions (Start-2024 to Start-2026, %-pts)

	Global			US			Global Ex. US		
	Unique Count	Total Count	Average	Unique Count	Total Count	Average	Unique Count	Total Count	Average
Hardware	4.8	4.8	**4.8**	3.2	3.3	**3.2**	4.8	6.9	**5.8**
Semis	2.6	6.5	**4.5**	3.4	6.5	**5.0**	3.6	5.5	**4.6**
Int. Media	3.0	4.8	**3.9**	3.1	5.4	**4.2**	3.0	3.9	**3.4**
IT Services	0.8	3.4	**2.1**	3.6	4.4	**4.0**	-0.8	1.4	**0.3**
Prof. Services	2.7	1.4	**2.1**	2.5	1.1	**1.8**	3.0	1.9	**2.4**
Software	3.0	1.0	**2.0**	0.7	-3.7	**-1.5**	1.6	2.0	**1.8**
Comms. Eq.	1.0	1.4	**1.2**	1.8	2.4	**2.1**	-0.5	-0.3	**-0.4**
Hotels/Leisure	1.0	0.9	**1.0**	1.2	1.1	**1.2**	0.7	0.5	**0.6**
Media	1.0	0.9	**1.0**	1.9	1.4	**1.6**	0.0	0.0	**0.0**
Aero. & Def.	1.1	0.5	**0.8**	-1.2	0.6	**-0.3**	-0.5	-0.3	**-0.4**
Fin. Services	1.0	0.5	**0.8**	1.9	0.8	**1.4**	0.1	0.1	**0.1**
Health Serv.	0.7	0.4	**0.5**	0.6	0.3	**0.5**	0.7	0.5	**0.6**
Wireless Com.	0.3	0.4	**0.3**	0.0	0.0	**0.0**	0.7	1.0	**0.9**
Broad. Retail	0.0	0.5	**0.3**	-0.3	0.3	**0.0**	0.4	0.7	**0.6**
Electronic Eq.	1.5	-1.0	**0.3**	1.2	-2.7	**-0.7**	3.2	1.9	**2.6**
Life Sciences	0.0	-0.5	**-0.3**	-0.1	0.4	**0.2**	-0.5	-1.9	**-1.2**
Health Eq.	-0.3	-1.3	**-0.8**	-2.7	-2.9	**-2.8**	-0.2	0.2	**0.0**
Ind. Cong.	-0.7	-0.9	**-0.8**	-1.0	-1.0	**-1.0**	-0.5	-0.6	**-0.6**
Entertainment	-1.3	-0.7	**-1.0**	-0.2	0.2	**0.0**	0.0	0.0	**0.0**
Electrical Eq.	-1.2	-2.2	**-1.7**	-0.3	-2.2	**-1.2**	-0.2	-2.0	**-1.1**

Sources: LSEG, Capital Economics. "Unique count" refers to the number of unique stocks featured in the 10 largest AI ETFs at start-2024 or start-2026. "Total count" sums up how many times each stock appears (e.g., Nvidia features in all 10 in 2026 so is counted 10 times). 'Average' is a simple average of the other measures.

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